

holdings for potentially poor performance, and use this evidence to illustrate the hazards of overconfidence. Second, point to academic and practitioner studies that show how volatile the markets are. The investor often will get the picture at this point, acquiring more cautious respect for the vagaries of the markets.

4. *Portfolio underdiversification.* As in the case of the retired executive who can't relinquish a former company's stock, many overconfident investors retain underdiversified portfolios because they do not believe that the securities they traditionally favored will ever perform poorly. The reminder that numerous, once-great companies have fallen is, oftentimes, not enough of a reality check. In this situation, the advisor can recommend various hedging strategies, such as costless collars, puts, and so on. Another useful question at this point is: "If you didn't own any XYZ stock today, would you buy as much as you own today?" When the answer is "no," room for maneuvering emerges. Tax considerations, such as low cost basis, sometimes factor in; but certain strategies can be employed to manage this cost.

A FINAL WORD ON OVERCONFIDENCE

One general implication of overconfidence bias in any form is that overconfident investors may not be well prepared for the future. For example, most parents of children who are high school aged or younger claim to adhere to some kind of long-term financial plan and thereby express confidence regarding their long-term financial well-being. However, a vast majority of households do not actually save adequately for educational expenses, and an even smaller percentage actually possess any "real" financial plan that addresses such basics as investments, budgeting, insurance, savings, and wills. This is an ominous sign, and these families are likely to feel unhappy and discouraged when they do not meet their financial goals. Overconfidence can breed this type of behavior and invite this type of outcome. Investors need to guard against overconfidence, and financial advisors need to be in tune with the problem. Recognizing and curtailing overconfidence is a key step in establishing the basics of a real financial plan.

NOTES

1. Roger G. Clarke and Meir Statman, "The DJIA Crossed 652,230," *Journal of Portfolio Management* 26 (Winter 2000): 89–93.